

Agriculture Infrastructure Fund (AIF)

DRAFT FOR REVIEW | SCHEME | D011

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The Agriculture Infrastructure Fund helps finance eligible agricultural infrastructure through interest support on loans. It can be relevant to a warehouse, cold store, sorting and grading facility or qualifying processing project where the activity fits the scheme's defined agricultural value chain.

AIF is a financing facility. Its value to a project lies in reducing the interest burden on qualifying borrowing and supporting access to credit guarantees. It does not turn the full cost of a facility into a capital grant, and the lender still assesses whether the business can repay the loan.

Assistance and policy period

The September 2024 revised guidelines provide 3% annual interest subvention on eligible borrowing up to ₹2 crore, for a maximum of seven years. A larger loan can be considered, but that guideline limits the interest-supported portion to ₹2 crore. Credit-guarantee support is subject to the eligible borrower and guarantee framework.

The document gives the scheme an overall period through 2032–33, while setting the loan-disbursement period through 2025–26. These dates serve different purposes. The longer support period does not establish that new loan applications remain open after March 2026. A new proposal needs the latest disbursement authority and lender instructions checked before AIF is included in its financing plan.

Which activity is being financed?

The revised list includes warehouses and silos, cold stores and cold-chain facilities, assaying, packaging, sorting, grading and specified logistics infrastructure. It also covers defined farming assets and certain farm-residue or waste-management activities. Each description has its own conditions; an agricultural connection in the business name is insufficient.

The 2024 revision distinguishes eligible primary processing and integrated primary-plus-secondary processing from standalone secondary processing, which is excluded. For example, a proposal must explain how the actual processing stages fit the crop-wise activity table. It is not enough to describe the entire investment simply as "food processing".

Applicant categories include farmers, agri-entrepreneurs, start-ups, farmer producer organisations and other bodies identified in the guidelines. Some activities carry applicant-specific restrictions. Establish the applicant, asset, location and operating model together.

Prepare a financeable project

A useful project file links the proposed asset to the produce it will handle, the capacity required and the income expected. For a warehouse, that means examining throughput, occupancy, storage charges and operating costs. For a processing line, it means showing the input, process stages, output and market.

Keep land or lease records, technical quotations, a cost breakdown, project report and proposed means of finance ready. Separate land, civil works, equipment and working capital. The bank needs repayment evidence and the scheme assessment needs eligible-activity evidence; the two reviews answer related but different questions.

Confirm the operative application route, submit the proposal and lender documentation, respond to appraisal queries, and preserve sanction and disbursement records. Interest support must be reconciled with the actual loan account over time.

Common questions

Is every warehouse eligible?

No. The proposed use must fit AIF's agricultural infrastructure scope. A general commercial storage building cannot be assumed to qualify simply because it is called a warehouse.

Can AIF be combined with another subsidy?

The guidelines provide for convergence, but the other programme's conditions, eligible costs and financing treatment must also permit it. Prepare a component-level funding plan before counting both benefits.

Official source

[September 2024 revised AIF guidelines](#), particularly the implementation period, budgetary support and eligible-project sections.

For a different kind of warehouse assistance, read the separate explanations of [Haryana warehouse capital assistance](#) and [AMI](#).

Discuss your agriculture-infrastructure project

Tell us what the facility will handle, where it will be located, its proposed capacity and approximate investment. Let us know whether a lender has been approached or a loan has already been sanctioned.

Rapid's [Subsidy & Incentive Advisory](#) connects the programme assessment with the investment records. [Finance Advisory](#) covers the separate funding discussion. For the wider project, explore [Food & Agro Processing](#) or [Commercial & Logistics Facilities](#).

[Discuss your project](#). An expert consultant from Rapid will call you to understand the requirement and explain the proposed work and next steps.

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Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. September 2024 revised AIF guidelines

<https://agriinfra.dac.gov.in/Documents/Circular/91EE46A50D3941908F192725717E431B.pdf>